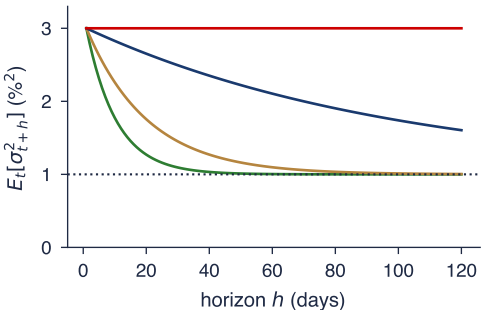


Forecasts after a high-variance day



- $\alpha + \beta = 0.90$
- $\alpha + \beta = 0.95$
- $\alpha + \beta = 0.99$
- $\alpha + \beta = 1.00$  (IGARCH)
- ..... long-run variance  $\bar{\sigma}^2$